



Qualification Programme Examination Panelists' Report

Module 11 – Financial Reporting (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case question involved a premium chocolatier and focused on various practical accounting issues in the chocolate industry, including foreign operations, biological assets in cocoa plantations, and hedge accounting arising from the purchase of raw materials. This case question assessed candidates' logical thinking and analytical skills balanced with computations, for example, in the preparation of a consolidated statement of financial position. Candidates' performance was somewhat less than desired as many of them chose not to attempt the questions. Furthermore, candidates were generally weak in applying their knowledge to the case scenario.

Specific Comments

Question 1(a) – 8 marks

This question required candidates to tackle group accounting issues involving a foreign operation.

Specifically, Question 1(a) required candidates to provide additional information to determine the functional currency of a foreign operation. This question assessed candidates' ability to critically apply the facts in the case and to think broadly to address the issue. This simulates real business scenarios where information may be insufficient for drawing a conclusion.

The performance in Question 1(a) was satisfactory. Candidates demonstrated fundamental understanding of how a functional currency is determined, making correct references to HKAS 21 *The Effects of Changes in Foreign Exchange Rates*. Yet, candidates were generally weak in the application of the factors in HKAS 21. Candidates did not properly utilise the facts presented in the case in this part. For example, candidates suggested some facts which were presented in the case as additional information, illustrating that they did not digest the facts properly or they did not understand the technical requirements in HKAS 21. Furthermore, many candidates failed to identify that the subsidiary in question was a foreign operation and therefore missed the additional factors when determining the functional currency of a foreign operation in HKAS 21. Candidates are reminded that critical analysis is important in Module 11. They are expected to digest the information provided in the case, utilise the relevant facts fully, and appropriately relate various financial reporting issues in their analysis.



Question 1(b) – 25 marks

This question required candidates to translate the financial statements of a foreign subsidiary presented in foreign currency and to prepare the consolidated statement of financial position of the Group. This acquisition included a fair value differential as at the acquisition date, with tax effects, which related to machinery items and dividend distribution from the foreign subsidiary.

Candidates who attempted this part demonstrated basic consolidation techniques, such as translating financial statements presented in a foreign currency using the appropriate rates, calculation of goodwill, and the non-controlling interest as at the acquisition date. Yet, they failed to demonstrate sufficient awareness of the deferred tax impacts arising from the fair value differential, for example, in determining which income tax rate should be applicable in this scenario. Some candidates missed the re-translation of goodwill at the end of the year using the closing rate. Candidates were, in general, weak in tackling the translation reserve, with many candidates sharing such reserve to the non-controlling interest.

This question assessed candidates' logical thinking through the preparation of the consolidated financial statements. Candidates are advised to include supporting calculations in their answers; otherwise, they will lose substantial marks in computational questions.

It was surprising that quite a number of candidates left this part blank. While consolidation of a foreign subsidiary is within the examination scope of Module 11, candidates are expected to demonstrate such knowledge. The skills for the preparation of consolidated financial statements were extensively covered in the learning pack of Module 11 and in the professional module workshop. Group accounting issues can be assessed in many different forms in Module 11, such as through discursive questions, preparation of consolidated financial statements, and consolidated adjustment journal entries. Candidates are therefore reminded to understand the mechanics of group accounting and demonstrate such knowledge as required in the question.

Question 2 – 6 marks

This question required candidates to categorise different assets in a cocoa plantation and assessed candidates' fundamental knowledge in bearer plants, biological assets, and inventories, as well as their general measurement principles.

Candidates' performance was fair as they were not aware of the fundamental requirements in HKAS 41 *Agriculture*, which is within the examination scope of Module 11. Most of the candidates were only able to classify the cocoa beans as inventories with the correct measurement principles.

Candidates are advised to understand the examination scope of Module 11 and make good use of their available learning resources, such as learning packs, during the examination.



Question 3 – 11 marks

This question required candidates to apply fundamental knowledge of hedge accounting, in accordance with HKFRS 9 (2014) *Financial Instruments*, to a highly probable forecast purchase of sugar. Candidates' performance varied.

It was a delight to see that a majority of the candidates were aware of the characteristics of a derivative in HKFRS 9 (2014). Instead of merely copying the requirements in HKFRS 9 (2014), candidates who answered this part well were able to apply HKFRS 9 (2014) specifically with reference to the facts presented in the case to explain why a forward contract qualified as a derivative.

Candidates demonstrated weaknesses in the accounting treatments of a hedge transaction. While a number of candidates left this part blank, those who attempted this question did not understand the mechanics of such a hedge transaction. Some mistakenly understood that the forward contract was settled by purchasing sugar, though the case stated clearly that the forward contract was settled by cash and the sugar was purchased through a separate transaction. Candidates also failed to identify the hedged item in this case properly. Furthermore, candidates did not conclude whether this hedge transaction was a fair value hedge or a cash flow hedge and therefore presented the accounting treatments.

It is understood that hedge transactions are complicated to many candidates. Hedge accounting is, however, within the examination scope of Module 11, and candidates are expected to understand the mechanics of a hedge transaction and be equipped with fundamental knowledge of hedge accounting.

Question 3 also assessed candidates' core enabling competencies, which should be a key feature in the New Qualification Programme. Specifically, it assessed candidates' analytical and communication skills. In general, candidates demonstrated average performance when analysing the issues in the case, while the ability to present their answers in a structured way varied. Quite a number of candidates used the format of drafting a memorandum in this question. Candidates are reminded that simply including the typical format of a memorandum (with the addressee, date, subject, etc.) does not properly address this type of question, which requires candidates to draft a report. As a result of this, many candidates did not demonstrate satisfactory communication skills. Candidates are reminded to present their answers in an appropriate format and structure, which usually requires an introductory paragraph defining the purpose of the document. In general, candidates are advised to learn from their workshop under the New Qualification Programme and carefully read the assessment rubrics for the core enabling competencies in their workshop to clearly understand the requirements which are applicable in written examinations.



(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are commonly seen in practice.

In general, candidates were able to understand the requirements of the questions and identify the applicable standards. However, a number of the candidates seemed to have difficulty in applying what they know to the specific scenario at hand.

Candidates who scored full or high marks were able to present their answers succinctly in response to what was required, supporting their answers with precision with the relevant requirements from the specific financial reporting standards.

In general, performance in this section was less than satisfactory.

Specific Comments

Question 4 – 18 marks

This question required candidates to evaluate management's comments about the classification of properties which are operated as hotel/service apartments: one property being operated by the reporting entity itself and the other being subject to an outsourcing arrangement with a third party.

This question required a good understanding of the definition of investment properties. In addition, the question also required a good grasp on when and how HKFRS 15 *Revenue from Contract with Customers* and HKFRS 16 *Leases* apply under the different arrangements.

Performance was less than satisfactory.

Most candidates were able to identify HKAS 40 *Investment Properties* as being relevant to the case and quoted some relevant technical supports, but many did not address whether they agreed with management's comments. The question asked for the classification and accounting treatment of each of the properties, but some candidates appear to have forgotten to address all that was asked.

Property A – Many candidates were able to discuss the treatment of the portion that is being run as a hotel, but quite a few disregarded the substance of the arrangement and ended up arriving at a contradictory conclusion for the portion that is run as service apartments. Very few addressed the treatment of properties that could be subject to dual use. When advising on the accounting treatment, some disregarded the accounting policy that is already given in the case. Some candidates misread the question and incorrectly assumed the property is available for employees' use.



Property B – Many dived into analysing the arrangement as a lease but ignored the substance of the arrangement and the fact that the operator does not have control (and, hence, is not a lease).

Question 5(a) – 15 marks

This question required candidates to apply the requirements in HKFRS 5 *Non-current Assets Held-for-sale and Discontinued Operations* (“HKFRS 5”) to determine whether the relevant disposal group should be classified as held-for-sale on two specific dates. Candidates were asked to perform the analysis for each period end independently.

Performance was less than satisfactory. Some candidates were not aware of HKFRS 5, and some did not even attempt to answer the question.

Candidates were asked to analyse the case for each period end separately, but some merged all their analyses into one, sometimes without mentioning which period the answer was trying to address.

While this question focused on presentation, some candidates diverged to talk about measurement.

Candidates are reminded that in order for assets to be classified as held for sale, the sale needs to be “highly probable” and not just “probable”.

Question 5(b) – 3 marks

This question required candidates to describe how the remaining 10% investment should be accounted for after the reporting entity disposed of 90% shareholding in its wholly-owned subsidiary.

Performance was poor. Though the question was specifically asking for the accounting treatment of the 10% shareholding that remains, some candidates focused on the accounting of the disposal.

For those that correctly focused on the accounting of the 10% shareholding, many were able to identify HKFRS 9 *Financial Instruments* as being the applicable standard, although the discussion on accounting treatment could have been more complete by taking into account that it has become a strategic investment.

It was noted some candidates did not attempt the question.

Question 6(a) – 4 marks

This question required candidates to identify the correct financial reporting standard to apply to a lease contract that has become onerous after commencement. This issue is expected to be common during the current economic environment, and candidates are expected to have seen something similar in the real world.

However, the performance on this question was poor. Many did not answer this question.

Many of the candidates that tried to answer the question were unaware that in such a situation, the requirements under HKFRS 16 *Leases* apply, as opposed to those in HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. As a lessee, the entity will determine and recognise any impairment of right-of-use assets by applying HKAS 36 *Impairment of Assets* instead of recognising a provision for onerous contract.

Question 6(b) – 5 marks

This question required candidates to apply business and accounting sense in determining the impact an economic downturn would have over a company's statement of financial position.

Performance on this question was not satisfactory. While many did not attempt the question, most candidates could not translate impacts of economic downturn into accounting implications on the various captions in the statement of financial position. Some merely focused on talking about business performance and went off-track, but there were some that were able to score high marks through the identification of multiple relevant impacts as required.

Question 6(c) – 5 marks

This question required candidates to identify and consider the ethical issues arising from a Finance Director exerting his influence over his staff to distort the presentation of long-term loans that have become current after a breach in loan covenant.

In general, performance on this question was fair. Candidates were able to identify the relevant fundamental principles. Candidates are reminded to apply the facts in the case to substantiate how each of them was being breached.

(III) Conclusion and Recommendation

Module 11 focuses more on the application of financial reporting knowledge in realistic professional settings and requires candidates to exercise professional judgement in evaluating accounting issues within the examination scope to provide advice on the most appropriate treatment. Candidates are reminded first to understand the examination scope of the module. As highlighted in the previous examination panelists' report, candidates are expected to demonstrate analytical skills in drafting their answers. Specifically, they are required to consider the appropriate financial reporting standard(s), extract the relevant principles (technical knowledge), and utilise the facts in the case for structuring their local arguments (critical analysis) to reach a correct conclusion. This will remain as the focus in assessing candidates in Module 11, and such abilities which are embedded in the



core enabling competencies will help candidates build a solid foundation for their capstone experience.

Overall, the performance of the candidates was not satisfactory.

Candidates are reminded to read the questions carefully and address what is being asked. In addition to the conclusions made, it is also important to demonstrate an understanding of how the answers are arrived at.

Candidates are reminded to make a reasonable attempt to answer each part of the question, and to be aware that current accounting issues typically involve application of a wide number of financial reporting standards.